

Inventory Item to Build

Revision Two HQ ▾ Bill of Material

← SAVE & CLOSE ACTIONS ▾ REPORTS ▾

BOM ID: 0000033 - Rack Mounted Server Star Revision: A ☐ Active

* Inventory ID: AMSERVER - Make to Order Server Eff. Start Date: 9/6/2018

* Warehouse: WHOLESALE - HQ Wholesale Warehou Eff. End Date: 6/6/2019

Description: Rack Mounted Server Standard Bill

* Oper Nbr	* Work Center	Oper Desc	* Setup Time	Run Units	* Run Time
0010	WC10	Assembly	00:30	1.000000	01:00
0020	WC100	Load OS, Configure and Test	00:15	1.000000	01:00

MATERIALS STEPS TOOLS OVERHEAD

REFERENCE DESIGNATORS RESET LINES

* Inventory ID	Description	Qty Required	* UOM	Unit Cost	Planned Cost	Material Type	Phantom Routing	Backflush
ELECPCU1	Intel CPU - 2.6GHz	8.000000	EA	139.30	1,114.40	Regular	Before	☐
ELEHDD3	Hard drive 2TB 7200rpm	4.000000	EA	60.51	242.04	Regular	Before	☐
ELEHDD2	Hard drive 1 TB SSD	2.000000	EA	222.41	444.82	Regular	Before	☐
ELEVGA	2D-Magic VGA Card	1.000000	EA	23.50	23.50	Regular	Before	☐
ELECOMP3	Dell rack mounted server	1.000000	EA	1,900.00	1,900.00	Regular	Before	☐

- All the inventory items are in non-project asset accounts.
- The finished item uses specific valuation and is serialized.

Simple Project

Revision Two HQ ▾ Projects

← SAVE & CLOSE RUN PROJECT BILLING ACTIONS ▾ REPORTS ▾

* Project ID: DB0001 Status: Active ▾ Assets: 0.00

Customer: ARTCAGES - Artcages ☐ Hold Liabilities: 0.00

Template: FIXEDPRICE - Fixed Price Project - mile Income: 0.00

* Description: Project with Production Orders Expenses: 0.00

SUMMARY TASKS REVENUE BUDGET COST BUDGET BALANCES INVOICES ACTIVITY HISTORY EMPLOYEES EQU

ADD COMMON TASKS ACTIVATE TASKS COMPLETE TASKS CREATE PROD ORDER

* Task ID	* Description	Rate Table	Allocation Rule	Billing Rule	* Status	Completed (%)	Start Date	End Date
DESIGN	Design	STANDARD	FIXEDPRICE	FIXEDPRICE	Active	0.00	8/24/2018	
BUILD	Build	STANDARD	FIXEDPRICE	FIXEDPRICE	Active	0.00	9/6/2018	
INSTALL	Install & Place in Service	STANDARD	FIXEDPRICE	FIXEDPRICE	In Plann...	0.00	10/18/2018	

- The Create Prod Order button can be used to create the production order for a task with a status of *In Planning* or *Active*.
- The Project status must be *Active*

Create Production Order for Project Task

Create Production Order

* Order Type:

PJ

* Order Date:

9/6/2018

Production Nbr:

<NEW>

Qty to Produce:

1.000000

* Inventory ID:

AMSERVER - Make to Order

ProjectID:

DB0001 - Project with Produ

* Warehouse:

WHOLESALE - HQ Wholesa

TaskID:

BUILD - Build

* Location:

DB0001 - Project DB0001

CREATE

CANCEL

Production Orders for Projects

Revision Two HQ ▾ Projects

SAVE & CLOSE

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RUN PROJECT BILLING

ACTIONS ▾

REPORTS ▾

INQUIRIES ▾

* Project ID:

DB0001

Status:

Active

Assets:

0.00

Customer:

ARTCAGES - Artcages

☐ Hold

Liabilities:

0.00

Template:

FIXEDPRICE - Fixed Price Project - mile

Income:

0.00

* Description:

Project with Production Orders

Expenses:

0.00

SUMMARY

TASKS

REVENUE BUDGET

COST BUDGET

BALANCES

INVOICES

ACTIVITY HISTORY

EMPLOYEES

EQUIPMENT

GL ACCOUNTS

	* Order Type	* Production Nbr	* Inventory ID	* Warehouse	* Location	* Order Date	Qty to Produce	Qty Complete	Qty Scrapped	Qty Remaining	Project Task
	PJ	0000333	AMSERV...	WHOLESALE	DB0001	9/6/2018	1.000000	0.000000	0.000000	1.000000	BUILD

The example below uses a work in process asset account linked to the **WIP** account group for production orders which is the normal setup for manufacturing. The production order is posted with all the expenses incurred (material, labor, overhead, etc.). The receipt of the completed item relieves the work in process of the expenses and debits the inventory account linked to the **INVENTORY** account. The project gets posted to the Inventory account group.

Example 1 – Using an Asset Account for Processing Production Orders Release Materials

Revision Two HQ ▾ Materials ★

← SAVE & CLOSE RELEASE WIZARD 00:00:08

Batch Nbr: Orig Batch Nbr: Total Qty.: 16.000000
 Status: Balanced Orig Doc Type: Total Amount: 3,713.88
☐ Hold Description:
 * Date: 9/6/2018
 * Post Period: 09-2018

ALLOCATIONS

* Order Type	* Production Nbr	* Oper Nbr.	* Inventory ID	* Warehouse	Location	Quantity	* UOM	Lot/Serial Nbr
PJ	0000333	0010	ELECPU1	WHOLESALE	R1S1	8.000000	EA	
PJ	0000333	0010	ELEHDD3	WHOLESALE	R1S1	4.000000	EA	
PJ	0000333	0010	ELEHDD2	WHOLESALE	R1S1	2.000000	EA	
PJ	0000333	0010	ELEVGA	WHOLESALE	R1S1	1.000000	EA	SRF000006
PJ	0000333	0010	ELECOMP3	WHOLESALE	R1S1	1.000000	EA	000030

- Production Order must be *Released*
- Project Task must be *Active*

Project Accounting for Material Issues

Revision Two HQ ▾ Projects

← SAVE & CLOSE RUN PROJECT BILLING ACTIONS ▾ REPORTS ▾ INQUIRIES ▾

* Project ID: Status: Active Assets: 0.00
 Customer: ☐ Hold Liabilities: 0.00
 Template: Income: 0.00
 * Description: Expenses: 0.00

SUMMARY TASKS REVENUE BUDGET COST BUDGET BALANCES INVOICES ACTIVITY HISTORY EMPLOYEES EQUIPMENT GL

VIEW TRANSACTIONS

Account Group	Description	Original Budgeted Amount	Revised Budgeted Amount	Original Committed Amount	Actual Amount	Performance (%)
Asset						
WIP	Project Work in Progress (WIP)	0.00	0.00	0.00	3,713.88	0.00
	Asset Totals	0.00	0.00		3,713.88	0.00

- The project value of the inventory issues to the production order (\$3,713.88) debited the production order work in process account and posted the amount to the project task.
- The work in process GL account specifies the account group. In this example the work in process account is an asset account which is typical.

Report Operations

Labor

Revision Two HQ - Labor

SAVE & CLOSE [Icons] RELEASE

Batch Nbr: <NEW> Total Qty.: 1.000000

Status: On Hold

☒ Hold

* Date: 9/6/2018

* Post Period: 09-2018

Description:

ALLOCATIONS ATTRIBUTES [Icons]

	Labor Type	Order Type	Production Nbr	Oper Nbr.	Inventory ID	Labor Code	*Employ ID	*Shift	Start Time	End Time	Labor Time	Labor Rate	Labor Amount	Quantity
/	Direct	PJ	0000333	0010	AMSERVER	DIRLAB	EP000...	0001	8:00 AM	9:40 AM	01:40	20.00	33.33	

Labor Accounting

Revision Two HQ - Journal Transactions

SAVE & CLOSE [Icons] RELEASE ACTIONS REPORTS

Module: GL * Branch: HQ - Revision Two HQ Type: Normal

Batch Number: GL000823 * Ledger: ACTUAL - Actual Ledger Orig. Batch Number:

Status: Posted Currency: USD 1.00 VIEW BASE Debit Total: 33.33

☐ Hold ☐ Auto Reversing ☐ Reversing Entry Credit Total: 33.33

* Transaction D... 9/6/2018

* Post Period: 09-2018

Description: Production Transaction

VIEW SOURCE DOCUMENT RECLASSIFICATION HISTORY [Icons]

	Branch	Account	Description	Subaccount	Project	Project Task	Ref. Number	Quantity	UOM	Debit Amount	Credit Amount	Transaction Desc
>	HQ	12425	Work in Process - Industrial Proj...	IND-000	DB0001	BUILD	0000333	0.000000		33.33	0.00	Labor: DIRLAB
	HQ	51100	COGS - Direct Labor	000-000	X		0000333	0.000000		0.00	33.33	Labor: DIRLAB

- Only the debits to the work in process account are posted to the project

Project Task Actuals Increased by Labor amount of \$33.33

Revision Two HQ - Projects

SAVE & CLOSE [Icons] RUN PROJECT BILLING ACTIONS REPORTS

* Project ID: DB0001 Status: Active Assets: 3,747.21

Customer: ARTCAGES - Artcages ☐ Hold Liabilities: 0.00

Template: FIXEDPRICE - Fixed Price Project - mile Income: 0.00

* Description: Project with Production Orders Expenses: 0.00

SUMMARY TASKS REVENUE BUDGET COST BUDGET **BALANCES** INVOICES ACTIVITY HISTORY EMPLOYEES

VIEW TRANSACTIONS [Icons]

Account Group	Description	Original Budgeted Amount	Revised Budgeted Amount	Original Committed Amount	Actual Amount
> Asset					
WIP	Project Work in Progress (WIP)	0.00	0.00	0.00	3,747.21
	Asset Totals	0.00	0.00		3,747.21

- The sum of the production order *WIP Totals* will equal the account group *Actual Amount*.

Move for Last Operation

Revision Two HQ ▾ Move

← SAVE & CLOSE RELEASE

Batch Nbr: Total Qty.:

Status: Released

☐ Hold

* Date: 9/6/2018

* Post Period: 09-2018

Description:

ALLOCATIONS ATTRIBUTES

		* Order Type	* Production Nbr	* Inventory ID	* Oper Nbr.	Quantity	* Warehouse	Location
>		PJ	<u>0000265</u>	<u>AMPROJECT</u>	0010	1.000000	<u>WHOLESALE</u>	<u>PROJECT</u>

- An inventory receipt is created
- A Journal Transaction for Labor, Overhead, and other costs is created.

Labor and other costs

Revision Two HQ ▾ Journal Transactions NOTES ACTIVITIES

← SAVE & CLOSE RELEASE ACTIONS ▾ REPORTS ▾

Module: GL * Branch: HQ - Revision Two HQ Type: Normal

Batch Number: GL000824 * Ledger: ACTUAL - Actual Ledger Orig. Batch Number:

Status: Posted Currency: USD 1.00 VIEW BASE Debit Total:

☐ Hold ☐ Auto Reversing ☐ Reversing Entry Credit Total:

* Transaction D...: 9/6/2018 ☐ Create Tax Transactions

* Post Period: 09-2018

Description: Production Transaction

VIEW SOURCE DOCUMENT RECLASSIFICATION HISTORY

		Branch	Account	Description	Subaccount	Project	Project Task	Ref. Number	Quantity	UOM	Debit Amount	Credit Amount	Transaction Description
>		HQ	12425	Work in Process - Industrial Proj...	IND-000	DB0001	BUILD	0000333	0.000000		12.50	0.00	Backflush Labor: DIRLAB
		HQ	12425	Work in Process - Industrial Proj...	IND-000	DB0001	BUILD	0000333	0.000000		1.00	0.00	Variable Overhead: FLOOR
		HQ	51100	COGS - Direct Labor	000-000	X		0000333	0.000000		0.00	12.50	Backflush Labor: DIRLAB
		HQ	76100	Overhead	000-000	X		0000333	0.000000		0.00	1.00	Variable Overhead: FLOOR

- Only the transactions that update the production order work in process account are posted to the project.
- A Move transaction creates a Cost Transaction that in turn creates the Journal Transactions.

Inventory Receipt Accounting

Revision Two HQ ▾ Journal Transactions NOTES

← SAVE & CLOSE 📄 ↶ + 🗑️ 📄 ⌂ ⏪ ⏩ RELEASE ACTIONS ▾ REPORTS ▾

Module: * Branch: HQ - Revision Two HQ Type: Normal
 Batch Number: * Ledger: ACTUAL - Actual Ledger Orig. Batch Number:
 Status: Posted Currency: USD 1.00 Debit Total: 3,760.71
☐ Hold ☐ Auto Reversing ☐ Reversing Entry Credit Total: 3,760.71

* Transaction D... 9/6/2018
 * Post Period: 09-2018
 Description: Production Transaction

🔄 + ✖ ✂ VIEW SOURCE DOCUMENT RECLASSIFICATION HISTORY ⏪ ⏩ 📄

	Branch	Account	Description	Subaccount	Project	Project Task	Ref. Number	Trans Date	Quantity	UOM	Debit Amount	Credit Amount
▶	HQ	12125	Inventory - Industrial Projects	IND-000	DB0001	BUILD	000452	9/6/2018	1.000000	EA	3,760.71	0.00
	HQ	12425	Work in Process - Industrial Proj...	IND-000	DB0001	BUILD	000452	9/6/2018	-1.000000	EA	0.00	3,760.71

- The work in process account for the production order is credited
- Because the stock item is assigned to a project asset account the project will be debited.

Project Task Updated

Revision Two HQ ▾ Projects

← SAVE & CLOSE 📄 ↶ + 🗑️ 📄 ⌂ ⏪ ⏩ RUN PROJECT BILLING ACTIONS ▾ REPORTS ▾

* Project ID: Status: Active ▾ Assets: 3,760.71
 Customer: 🔍 ☐ Hold Liabilities: 0.00
 Template: 🔍 Income: 0.00
 * Description: Expenses: 0.00

SUMMARY TASKS REVENUE BUDGET COST BUDGET BALANCES INVOICES ACTIVITY HISTORY EMPLOYEES EC

🔄 VIEW TRANSACTIONS ⏪ ⏩ 📄

Account Group	Description	Original Budgeted Amount	Revised Budgeted Amount	Original Committed Amount	Actual Amount
▶ Asset					
INVENTORY	Project Inventory	0.00	0.00	0.00	3,760.71
WIP	Project Work in Progress (WIP)	0.00	0.00	0.00	0.00
	Asset Totals	0.00	0.00	3,760.71	

- The receipt into inventory moves the cost from work in process to inventory. The inventory account for the finished item is in the group INVENTORY.
- Shipping the item on a sales order will move the inventory balance to the account groups associated with revenue and cost of goods sold.
- You can invoice at zero price if you are going to bill entirely through the project.

Summary of Project Transactions

Revision Two HQ Project Transactions

* Project: DB0001 - Project with Production Ord.
 Account Group:
 Project Task:
 Inventory ID:

From:
 To:
 Employee:

☐ Show only Allocation Transactions
☐ Include Unreleased Transactions

	* Branch	Module	Ref. Number	Project Task	* Date	* Fin. Period	Description	Inventory ID	UOM	Quantit	Amount (Normal)	Debit Account Group	Debit Account
▶	HQ	IN	PM00000250	BUILD	9/6/2018	09-2018	Intel CPU - 2.6GHz	ELECPU1	EA	8.000000	1,114.40	WIP	12425
	HQ	IN	PM00000250	BUILD	9/6/2018	09-2018	Hard drive 2TB 7200rpm	ELEHDD3	EA	4.000000	242.00	WIP	12425
	HQ	IN	PM00000250	BUILD	9/6/2018	09-2018	Hard drive 1 TB SSD	ELEHDD2	EA	2.000000	433.98	WIP	12425
	HQ	IN	PM00000250	BUILD	9/6/2018	09-2018	2D-Magic VGA Card	ELEVGA	EA	1.000000	23.50	WIP	12425
	HQ	IN	PM00000250	BUILD	9/6/2018	09-2018	Dell rack mounted server	ELECOMP3	EA	1.000000	1,900.00	WIP	12425
	HQ	GL	PM00000251	BUILD	9/6/2018	09-2018	Labor: DIRLAB	<N/A>		0.000000	33.33	WIP	12425
	HQ	IN	PM00000252	BUILD	9/6/2018	09-2018	Make to Order Server	AMSERVER	EA	1.000000	3,760.71	INVENTORY	12425
	HQ	IN	PM00000252	BUILD	9/6/2018	09-2018	Make to Order Server	AMSERVER	EA	-1.000000	-3,760.71	WIP	12425
	HQ	GL	PM00000253	BUILD	9/6/2018	09-2018	Backflush Labor: DIRLAB	<N/A>		0.000000	12.50	WIP	12425
	HQ	GL	PM00000253	BUILD	9/6/2018	09-2018	Variable Overhead: FLOOR	<N/A>		0.000000	1.00	WIP	12425
	HQ	AR	PM00000254	BUILD	9/6/2018	09-2018	Make to Order Server	AMSERVER	EA	1.000000	0.00	REVENUE	40000
	HQ	IN	PM00000255	BUILD	9/6/2018	09-2018	Make to Order Server	AMSERVER	EA	-1.000000	-3,760.71	INVENTORY	12425
	HQ	IN	PM00000255	BUILD	9/6/2018	09-2018	Make to Order Server	AMSERVER	EA	1.000000	3,760.71	MATERIAL	50000

1. The receipt from the production order debited the INVENTORY group because that was the group assigned to the item's inventory account and credited the WIP group.
2. The release of a sales invoice, at zero cost, debited the REVENUE group and credited the INVENTORY group.
3. The invoice debited the MATERIAL group because that was the group assigned to the Cost of Goods sold account.